# Microsoft Entra Conditional Access V2

## Summary

Conditional Access Policy Plans are a new feature designed to move beyond the current limit of 195 Conditional Access policies per tenant. V2 introduces a separate plan-and-rule model rather than increasing the V1 policy limit. Plans group related rules and let them share settings. This makes larger configurations easier to organize and manage. It is particularly useful for complex scenarios such as Conditional Access for Global Secure Access. The framework is also intended to support Conditional Access for agent identities in the future. This is product direction, not a claim that agent support is available today.

Each plan contains at least one rule. Shared scopes define who and what the rules apply to. Shared conditions define when they apply. These settings are optional. When configured, they apply to every rule in the plan. Each rule keeps its own grant and session controls. At sign-in, all applicable V2 rules and V1 policies are evaluated together. All their requirements must be met. Plans and rules have no priority order.

Public Preview is now available. After a formal V1 deprecation notice is issued, customers will have at least one year to migrate to V2. No date has been committed for that notice or for V1 retirement. General availability (GA) has no confirmed date. January is an engineering target, not a commitment.

Rules cannot override shared plan settings. A rule cannot turn off an inherited scope or condition. It also cannot remove an inherited exclusion. Where supported, a rule can add exclusions to narrow who or what it applies to. These local exclusions do not change the shared settings. A change to a shared condition affects every rule in the plan.

## Product Architecture and Enforcement Model

### Object Hierarchy

A Policy Plan is an independently managed containment object for related security intent. It consists of:

1. Plan details: name, description, tags, and governance owner or approver metadata.
2. Optional shared scopes and conditions: identities, resources, networks, device conditions, and exclusions that genuinely apply to every contained rule.
3. One or more rules: each rule contains its local assignments, conditions, access controls, description, and state. Every plan requires at least one rule.

Rules use the same fundamental Conditional Access if-then schema as policies. Controls are not inherited plan properties; grant and session controls reside in rules. The plan is the containment boundary for every rule, so a rule cannot exist independently of a plan.

The following illustration captures the model.

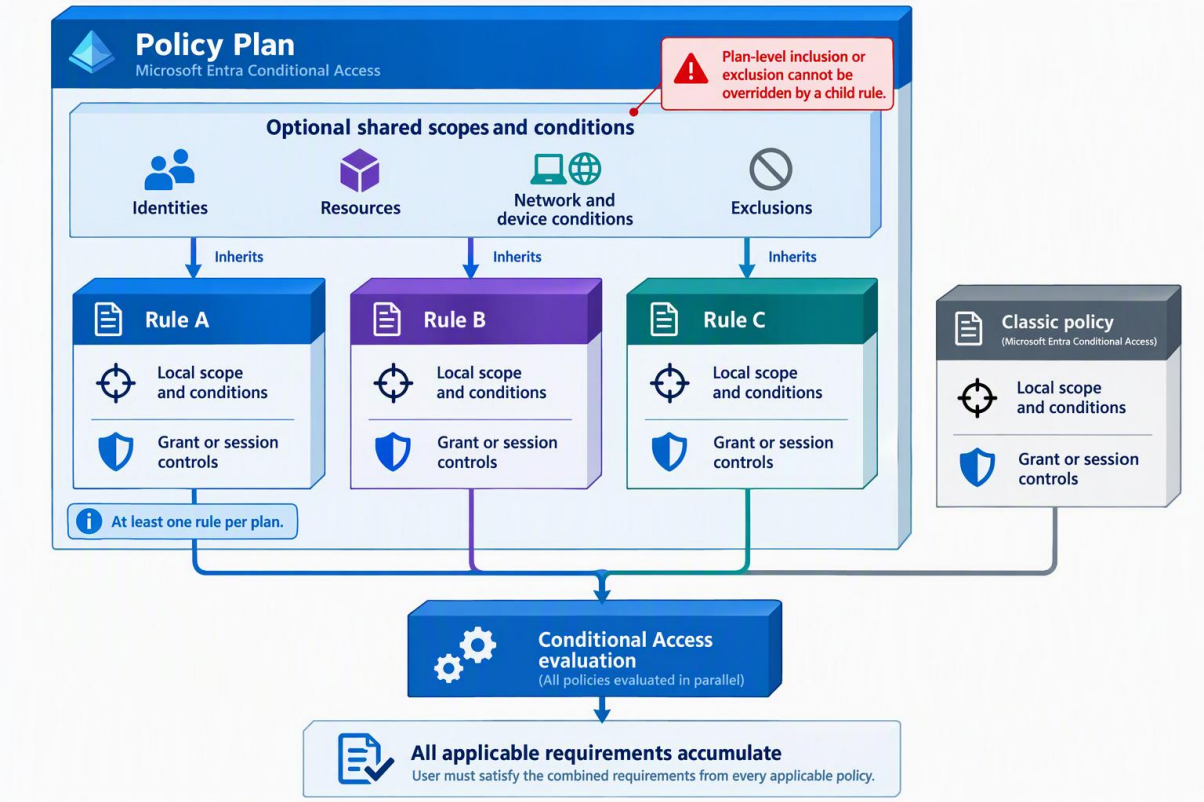



Figure 1: Policy Plans use optional shared scopes and conditions as a non-overridable inheritance layer, while each contained rule carries its own local logic and controls; applicable V1 policies and V2 rules still accumulate during evaluation.

## Inheritance and Exclusions

The effective rule is conceptually:

Inherited plan scope and conditions + local rule scope and conditions + local rule controls

The precise semantics are:

- Shared conditions are optional.
- Any configured shared setting is mandatory for every child rule.
- Plan exclusions automatically propagate to all child rules and cannot be removed.
- Local rule exclusions may further subtract specific identities or resources where supported.
- A rule cannot negate, bypass, or "opt out" of an inherited plan inclusion or condition.
- Inherited and local exclusions accumulate; inherited exclusions are therefore an intentional guaranteed safety baseline.

Only share an identity, resource, network, device, or location condition at the plan level if it applies to every rule. If any rule needs an exception, keep that condition local to individual rules or place the rule in another plan.

### Enforcement Is Cumulative, Not Ordered

Rules are not processed as an ordered list and plans do not create precedence. Each applicable rule is independently evaluated like a policy, alongside applicable V1 policies. Every applicable requirement must be satisfied.

"Most restrictive" is acceptable only as shorthand for outcomes such as an applicable block decision. It must not replace the established cumulative model: MFA, authentication strength, compliant-device, location, session, risk, and other requirements can all contribute simultaneously.

## Limits and Licensing

### Policy Limits

Authoritative V2 design information specifies:

- 100 plans per tenant
- Up to 100 rules per plan
- Up to 10,000 V2 rules
- A separate limit model from V1, not an enlargement of the V1 policy collection.

Global Secure Access could expose scenarios where more than 100 security profiles would logically belong together; treat the 100-rule plan boundary as a real design constraint, not a suggestion.

### Licensing

There is no incremental licence for the core Policy Plans container/rule capability. It remains aligned to Microsoft Entra ID P1 and Microsoft 365 E3. Public guidance confirms core Conditional Access requires P1 and that P1 is included in Microsoft 365 E3.

Feature licensing remains independent:

- Identity Protection risk conditions require P2.
- Workload identity rules require the applicable Workload ID entitlement.
- Intune compliance and app-protection scenarios require their respective Intune licensing.
- Purview, Defender for Cloud Apps session controls, and other integrated capabilities retain separate entitlements.

## Release Lifecycle

| Milestone | Current Conclusion | Disclosure Status |
|---|---|---|
| Private Preview | Complete | Internal/current |

| Milestone | Current Conclusion | Disclosure Status |
|---|---|---|
| Public Preview | Available now | Current |
| GA | TBD | Directional |
| V1 coexistence | Supported during preview and migration | Internal/current |
| V1 deprecation | Eventual product direction | Roadmap |
| Customer notice | At least one year expected | Directional |

# Authoring and Management

## Available for the Preview Implementation

- Create a custom plan from scratch.
- Create from one or multiple templates; each selected template becomes a rule.
- Add descriptions and tags.
- Record individual or group owner/approver metadata without changing RBAC.
- Inspect the plan as JSON.
- Edit individual rules.
- Move a rule to another plan.
- Clone or duplicate a rule.
- Delete a rule.
- Bulk-edit rule state within a plan.
- See inherited versus local configuration.

Template and custom plan experiences recommend report-only validation before enforcement.

# Migration Behaviour

The built-in workflow selects related V1 policies, detects repeated assignments or conditions, promotes genuinely common values to the plan layer, and maps each source policy to a rule while preserving unique settings locally.

It supports source policies in Enabled, Report-only, and Off states. Original policies remain unchanged and continue evaluating in their existing states during validation.

One terminology contradiction requires explicit treatment:

- Current product behaviour establishes newly created migration objects Off to prevent unintended enforcement.

- Operational guidance subsequently tells administrators to verify or place rules in Report-only before validation.

Correct interpretation: creation safety state is Off; Report-only is the deliberate validation state before enforcement. Do not assume migrated rules begin enforcing or reporting automatically.

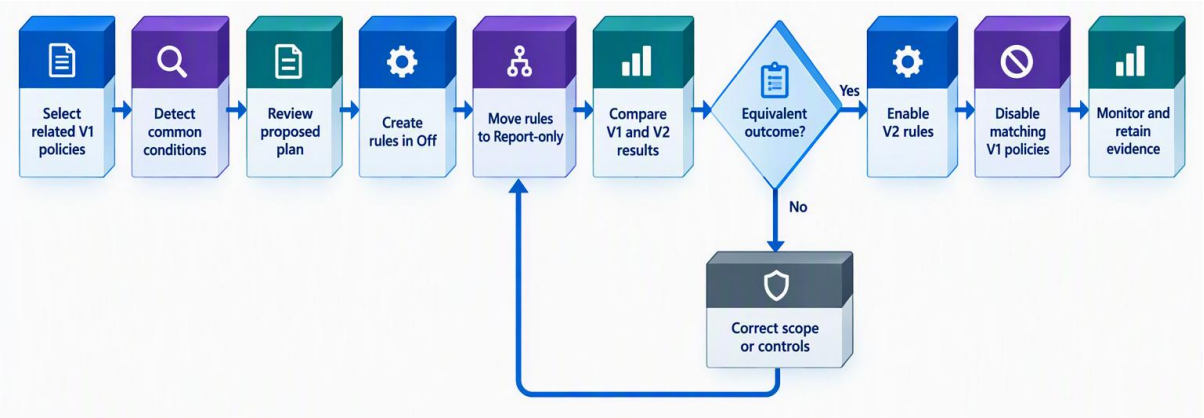



Figure 2: Policy migration workflow and validation sequence.

Microsoft intends to migrate Security Defaults and Microsoft-managed Conditional Access policies through Microsoft-controlled methods. Customers are expected to receive migration methods for custom policies. That division of responsibility is product direction and should not yet be represented as a completed automated migration service.

# API and Automation

Each plan is its own object and exposes a JSON representation. Internal implementation includes CRUD operations and beta Graph-style resources for plans and child rules, including collection, plan, and rule endpoints.

However:

- Public Graph documentation was described as forthcoming.
- No stable Microsoft Graph v1.0 contract was confirmed.
- No production-ready PowerShell module surface was confirmed.
- No Terraform provider support was confirmed.
- No stable import/export or IaC lifecycle contract was confirmed.

Accordingly, beta API experimentation can support inventory and proof-of-concept automation, but production governance should not yet depend on Graph beta, PowerShell wrappers, or Terraform.

# Logging, Reporting, and Troubleshooting

## Available/Current-Preview Position

- V1 and V2 evaluate concurrently.
- V2 rules appear beside V1 policies in sign-in logs.
- Selecting a rule deep-links to its containing plan/rule configuration.
- Enforcement tracing remains policy-like.
- Audit events record plan add, update, and delete activity.
- What If supports Conditional Access simulation; the public tool includes enabled and report-only policies and reports applicable and non-applicable policies.

Because of telemetry volume, some non-applied V2 rules might not be listed. Absence from a non-applied list must not be interpreted as proof that a rule was never considered.

## Planned or Incomplete

- Rule-level policy-impact reporting built directly into the V2 experience.
- No mandatory Azure Monitor or Log Analytics dependency for that built-in view.
- Side-by-side V1/V2 migration comparison.
- Improved CA Insights and reporting for plans and rules.
- More complete presentation of non-applied V2 rules.

The public V1 experience currently directs administrators to per-policy reporting or the Insights workbook after What If evaluation. V2 reporting parity should therefore be treated as an active delivery area, not assumed complete.

# Roadmap and Known Gaps

| Capability | Current Position |
|---|---|
| Native collision warnings | Planned; not yet available |
| Optimization Agent for Policy Plans | Not yet supported |
| AI-assisted migration optimization | Future idea |
| AI/LLM troubleshooting | Future idea |
| Backup and restore | Expected, not confirmed |
| Versioning and safe deployment | Future direction |

| Capability | Current Position |
|---|---|
| Conditional Access for agents | Intended to build on the framework |
| Secure Baseline | Intended to build on the framework |
| CA++ resource-level expansion | Strategic framework direction |

Publicly, the current optimization agent recommends changes to existing Conditional Access policies and requires P1 plus Security Copilot compute. Public material does not claim Policy Plans support.

## Microsoft-Managed Plan Direction

Roadmap direction is:

- Free tenants: Security Defaults evolves toward a Policy Plan-backed experience.
- Premium tenants: Secure Baseline or Microsoft-managed plans provide a managed baseline.
- Customer editing is expected to be deliberately constrained – for example, state or exclusions where supported.
- Conditional Access for agents and future resource-level scenarios are intended to reuse the same plan/rule framework.

None of this should be presented as currently released Policy Plans functionality.